

■ By Malini Bhupta

Desperate times, they say, call for desperate measures. For the first time in four years, the cheerleaders of Dalal Street are not showing any bravado. Clearly, this is not the time to invest in the equity markets. Fundamentals and the great India growth story be damned, foreign institutional investors (FIIs) are mindlessly selling stocks. So if you have been dreaming of value-picking at the bottom, forget it because the bloodbath is not over yet. Typically, whenever markets fall sharply, the pundits advise value-picking, but when the selling pressure in the market is not linked to valuation this theory is not applicable.

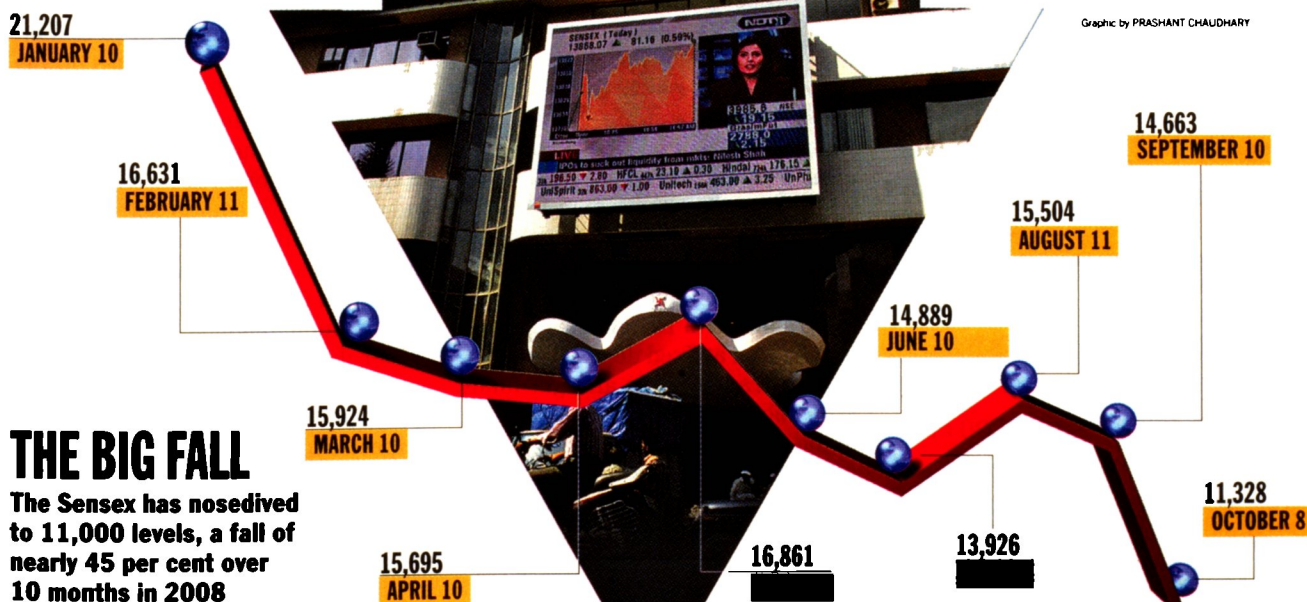
The bloodbath in October—which has dragged the Sensex back to sub-11,000 levels—has rendered even wizened market gurus speechless. Clearly, the days of double-digit returns are over. The credit contagion, which has brought down behemoths like Lehman Brothers, Merrill Lynch, Wachovia Bank and Washington Mutual, is now spreading to other parts of the world as a result of which banks are no longer lending to each other or even to consumers, for that matter. This has had an impact on the liquidity that was

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With sustained selling from FIIs, equity markets are free falling. What should the average investor do and how long do experts feel the crisis is likely to last?

coming to emerging markets.

Over the last two years, India's growth has been driven mainly through capital inflows, both portfolio and foreign direct investment. The dramatic rise of the Sensex last year can easily be attributed to the \$17-billion portfolio inflows. Not surprising, then with FIIs pulling out nearly \$10 billion this year, the Sensex has plummeted to 11,000, a fall of nearly 45 per cent in 10 months. With global banks buckling under pressure of marked to market losses, money has suddenly become a precious commodity. In order to plug gaping holes in their balance sheets caused by bad loans, banks and financial institutions are desperately looking to raise funds. Given that inter-bank lending is over, raising capital has become difficult. Consequently, banks are drawing upon institutions like hedge funds, which are unwinding their positions in emerging markets like India to pay back the loans. Says Amitabh Chakraborty, president (equity), Religare Securities: "The global headwinds are so strong that Indian fundamentals won't affect the meltdown. Banks are very weak and their balance-sheets are at risk. No fresh inflows will come as money will move to safe havens like gold and US treasury bills. By our estimate, FIIs will pull



Source: BSE